

in the book, we never considered it seriously, particularly since he told us that he wanted to focus on my relationship with my father.

Pretty far along into the project, Michael came back to ask us again. He said, “Hey, guys, I haven’t been able to find any other investors who shorted subprime mezzanine CDOs, and I really need you to participate so I have a narrative device to walk through the mechanics of CDOs.”⁴ Understanding the basics about CDOs is central to understanding how the credit crisis happened. We explored the possibility of shielding our identities through pseudonyms or fictionalizations. We couldn’t come up with a good alternative, so after a bit of arm-twisting by Michael, we reluctantly agreed.

Were you satisfied with the way the book turned out?

Yes, I was. It laid bare the role of subprime mortgage securitizations in causing the credit crisis in a way that was accessible to a reader without a background in finance. I think it’s had a positive impact on the public dialogue. I wish the narrative had extended to include more about the aftermath, particularly the government policy of forbearance and the inextricable interrelationship between systemic risk and credit derivatives. But I suppose that those extensions were beyond the book’s purview.

How do you feel about the way you and your partners were portrayed?

Although, broadly speaking, I am fine with how Lewis portrayed us, his depiction reflected at least a touch of artistic license. I suppose it could have been a lot worse. He nicely captured some of the aspects of our methodology, but I think his portrayal might lead readers to draw inaccurate inferences about our investment approach.

Specifically, how did you feel you were portrayed inaccurately?

I think a reader can walk away with the feeling that we were just cowboys taking reckless risks, when in fact the opposite is true.

Yes, he made you sound like lucky gunslingers. I remember when I read the book, my impression was that your portrayal came across as something along the lines of “never was there a long-shot investment